

The concept of buying “unpopular large companies” and its execution on a group basis, as described above, are both quite simple. But in considering individual companies a special factor of opposite import must sometimes be taken into account. Companies that are inherently speculative because of widely varying earnings tend to sell both at a relatively high price and at a relatively low multiplier in their good years, and conversely at low prices and high multipliers in their bad years. These relationships are illustrated in Table 7-3, covering fluctuations of Chrysler Corp. common. In these cases the market has sufficient skepticism as to the continuation of the unusually high profits to value them conservatively, and conversely when earnings are low or nonexistent. (Note that, by the arithmetic, if a company earns “next to nothing” its shares must sell at a high multiplier of these minuscule profits.)

As it happens Chrysler has been quite exceptional in the DJIA list of leading companies, and hence it did not greatly affect the the low-multiplier calculations. It would be quite easy to avoid inclusion of such anomalous issues in a low-multiplier list by requiring also that the price be low in relation to past *average* earnings or by some similar test.

While writing this revision we tested the results of the DJIA-low-multiplier method applied to a group assumed to be bought at the end of 1968 and revalued on June 30, 1971. This time the figures proved quite disappointing, showing a sharp loss for the low-multiplier six or ten and a good profit for the high-multiplier selections. This one bad instance should not vitiate conclusions based on 30-odd experiments, but its recent happening gives it a special adverse weight. Perhaps the aggressive investor should start with the “low-multiplier” idea, but add other quantitative and qualitative requirements thereto in making up his portfolio.

TABLE 7-3 Chrysler Common Prices and Earnings, 1952–1970